Table 2.7 Comparison of Specialist vs. Designated Market Maker (DMM)

Role	Specialist (Old)	Designated Market Maker (New)
Trading Responsibility	Agency responsibility, visibility to all incoming orders	Market maker with quoting obligation, no advanced "look"
Priority	Yield on all orders	Parity
Obligations	Affirmative and negative obligations, open, close	Affirmative obligations, open, close
Technology	S-quotes, SAPI	Addition of Capital Commitment Schedule (CCS)
Economics	Economic incentive	Economic incentive tied to providing liquidity

- Facilitate price discovery during the day, market open and close, periods of trading imbalances, and times of high volatility.
- Provide liquidity and price improvement to the market.
- Match orders based on a pre-programmed capital commitment schedule.

DMMs will no longer be the agent for orders on the Display Book, and their algorithms do not receive a "look" at incoming orders. This ensures fairness and that the DMMs compete as a market participant. In exchange for these obligations and restrictions, DMMs will be:

- Parity with incoming orders.
- Permitted to integrate their floor-based trading operations into a related member firm, while subject to strict information barriers.

DMMs will have their performance periodically reviewed, and will receive transparent economic incentives based on performance (Table 2.7).

Supplemental Liquidity Providers

Supplemental liquidity providers (SLPs) are high volume trading members who provide liquidity to their NYSE stocks. Unlike the DMM, where there is only a single member designated to each stock, multiple SLPs may be assigned to a stock. The rules of engagement for the SLP are:

- Maintain a bid or offer at the NBBO in each assigned security for at least 10% of the trading day.
- Trade only for their proprietary accounts. They are prohibited from trading for public customers or on an agency basis.
- Cannot act as a DMM and SLP for the same stock.
- Will not receive any unique information (unlike a DMM).

The SLP program rewards aggressive liquidity suppliers who complement and add competition to existing quote providers. SLPs who post liquidity